

**THE UNITED REPUBLIC OF TANZANIA
PRIME MINISTER'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
NJOMBE REGION
FORM SIX PRE-MOCK EXAMINATION**

151/1

ECONOMICS 1

(For Both School and Private Candidate)

Time 3 Hours

Wednesday, 19th August 2026 p.m

Instructions

1. This paper consists of two sections A and B with total **eight (08)** questions, **Four (04)** questions in each section.
2. Answer **all** questions in section A and any **three (03)** questions in section B.
3. Each question in section A carries **ten (10)** marks and question in section B carries **twenty (20)** marks each.
4. Non programmable calculators may be used.
5. Write your Examination Number on **every** page of your answer booklet(s).

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SECTION "A"

Answer all questions in this section

1. Briefly explain the following concepts as used in economics
 - (a) Economic good
 - (b) Necessity good
 - (c) Wants
 - (d) Utility
 - (e) Wealth

2. With a well labelled diagram briefly explain the following terms as used in economics
 - (a) Competitive demand
 - (b) Jointly demand
 - (c) Composite demand
 - (d) derived demand

3. Given a production function $q = 12l^2 - 0.8l^3$ whereby Q is output and L is quantity of labor used in production, determine
 - (a) Average product and marginal product of labor
 - (b) The value of labor that maximizes output
 - (c) The value of labor at which Average product is maximum
 - (d) Find the marginal product and average product using the value of labor that maximizes output.

4. Mr. James wanted to invest in avocado industries, but he failed to understand much about the industry. As an economist advice him five factors that influence location of avocado industry.

SECTION “B”

Answer only three questions from this section

5. A town has only one company supplying electricity. In six points (06) explain why this company is considered a monopoly?
6. Juma, Anna and Bakara are economic students they are confusing an idea of an economy, Assist them to know how to differentiate types of economy. Using **six (06)** points.
7. It is argued that elasticity concepts is useless and it should be removed in studying economics. Using **six (06)** points argue against the statement.
8. With six (06) reasons explain why agriculture sector is more subjected to the law of diminishing return?